



Industry Insight Series #2

How Can You Fix Your PTRS?

Prepared by Monochrome Compliance

Introduction

Most organisations involved in payment reporting have heard the term “P95” countless times by now, but many people still are not entirely sure what it means in practical terms or why the regulator places so much focus on it.

At its core, the Payment Times Reporting Scheme (PTRS) is designed to encourage large businesses to pay small businesses more quickly and more consistently. Over the past few years, the regulator has made it increasingly clear that two things matter most: whether an organisation sits among the slowest payers in its industry, and more importantly, whether its P95 remains below 30 days.

It’s the second point that changes the conversation quite a bit.

Many organisations still spend a lot of time focusing on average payment times or reviewing small groups of visibly delayed invoices without first stepping back to understand how payment timing is behaving across the broader invoice population.

The reality is that P95 behaves quite differently to what many people expect. Small operational delays repeated consistently across large invoice populations can materially change reported outcomes even where the organisation itself feels operationally stable day-to-day.

This paper explains what P95 actually means, why it matters so much from a reporting perspective, and why organisations monitoring payment behaviour progressively throughout the reporting period are usually in a much stronger position to respond early and maintain stable reporting outcomes over time.

KEY OBSERVATIONS

- P95 is how long it takes your company to pay 95% of its invoices to small businesses
- A P95 below 30 days is considered a regulatory “safe harbour”
- P95 measures how consistently most invoices are paid
- Average payment times can remain healthy while P95 deteriorates
- Organisations monitoring payment behaviour continuously are far better positioned to respond early
- Last-minute remediation often struggles to materially improve reported outcomes

1. What does P95 mean?

Stepping back for a moment, the whole intention of the Payment Times Reporting Scheme (PTRS) is to provide incentives for bigger companies to pay small businesses as quickly as possible. The regulator has determined that focusing on how long it takes to pay most of a company's invoices to small businesses is the best way to achieve this.

Simply put, your P95 is how long it takes your company to pay 95% of its invoices to small businesses.

If a business processes 1,000 invoices during a reporting period, then 950 of those invoices need to be paid within 30 days in order for the organisation's P95 result to remain below 30 days. The remaining invoices still matter operationally, but statistically they sit outside the P95 threshold.

Many organisations still focus heavily on average payment times because averages feel simple and familiar. The trouble is that averages can look perfectly reasonable while P95 quietly gets worse.

That usually happens because payment delays rarely come from one massive problem. More often, they build slowly through lots of smaller operational delays across thousands of invoices. A few extra days waiting for approvals, weekly payment runs, backlog handling, batching, or dispute resolution may not feel particularly serious on their own. Over time though, those delays start pushing more and more invoices outside the 30-day mark.

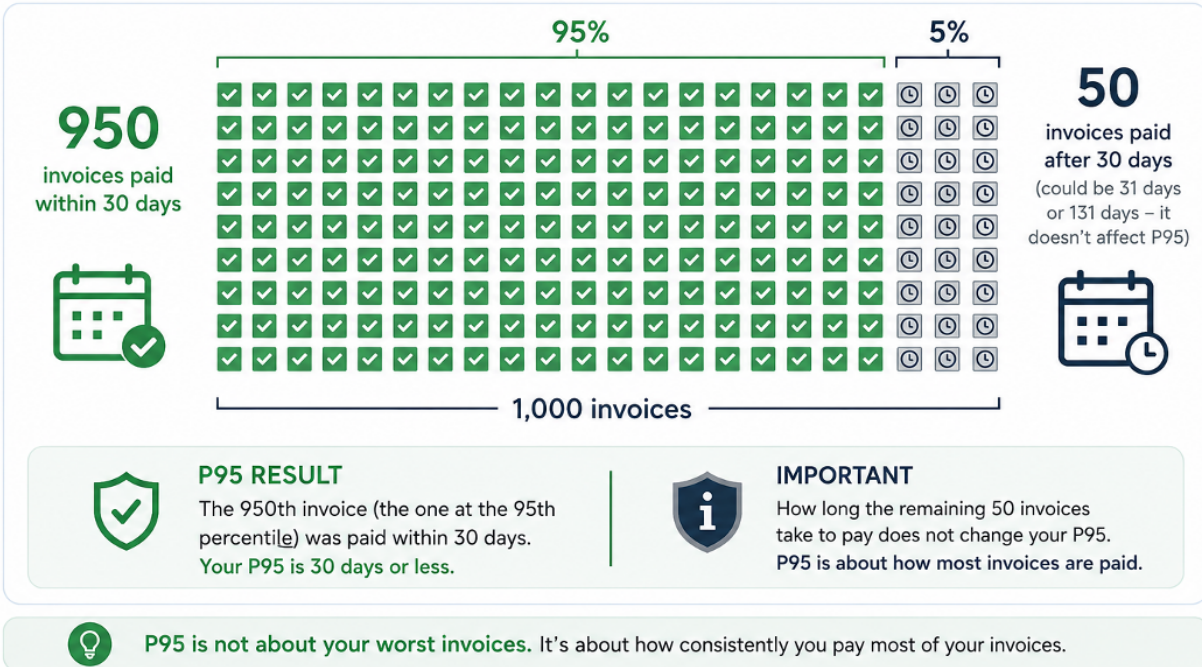
This is also why some remediation efforts barely change the reported outcome at all.

Organisations sometimes spend weeks fixing a relatively small number of delayed invoices without first understanding whether those invoices are actually influencing the P95 result in a meaningful way.

P95 is not really measuring your worst invoices. It is measuring how consistently your organisation pays most of its invoices.

What a P95 of 30 Days Really Means

If your business processes 1,000 invoices in a reporting period,
95% (950 invoices) must be paid within 30 days.



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2. Why averages can point you in the wrong direction

Many organisations naturally focus heavily on averages because averages feel intuitive and easy to explain.

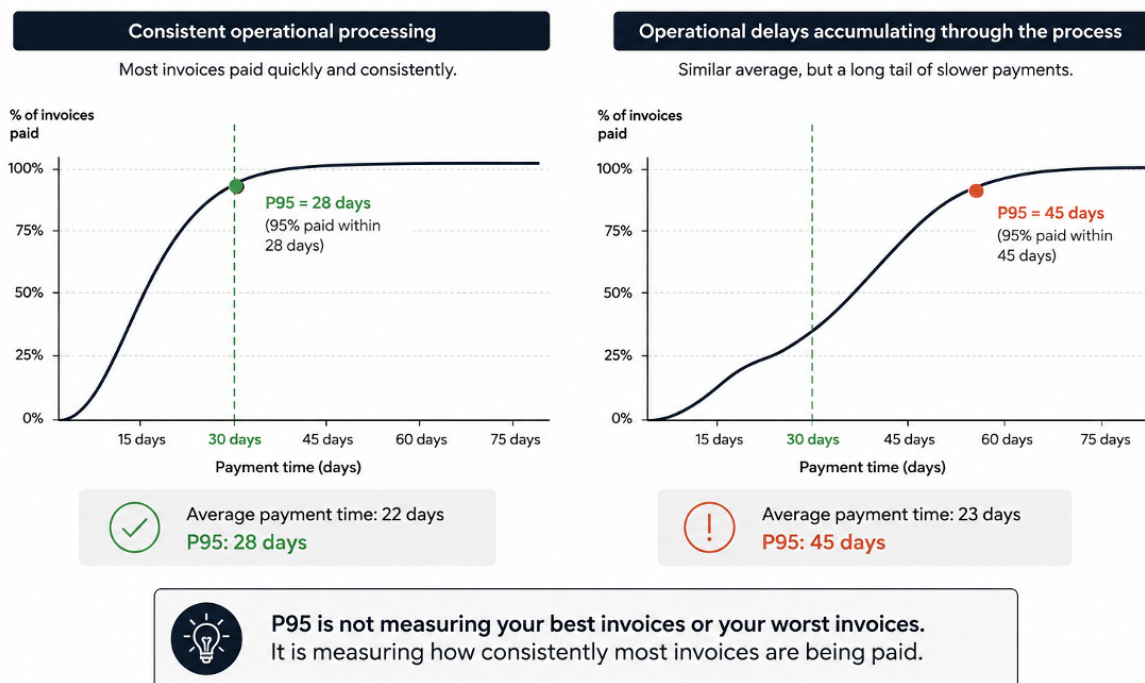
At first glance, averages seem logical. If your average payment time looks reasonably healthy, it is easy to assume your overall payment performance must also be reasonably healthy. The trouble is that averages do not tell you how consistently invoices are being paid.

An organisation can still produce a fairly healthy average payment time while a growing portion of invoices quietly drifts beyond 30 days. That is exactly the kind of behaviour P95 is designed to expose.

This is why two organisations with very similar average payment times can produce very different P95 outcomes.

Similar averages. Very different P95 outcomes.

Why averages can be misleading – and why P95 tells the real story.



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3. What does the “bottom 20%” actually mean?

The regulator has confirmed that the focus will be on the slowest 20% of companies within each industry code. The intention behind grouping companies per industry is to compare companies operating in similar markets to each other instead of across what could be very different operating environments.

This means that the bottom 20% of payers within each industry code could come under scrutiny from the regulator as the focus moves from “Inform and educate” to “Question and monitor”.

At the same time though, the regulator has also made it clear that organisations with a P95 below 30 days are considered to be operating within a “safe harbour”. In practical terms, that means organisations should focus less on isolated invoices and more on whether most invoices are consistently being paid within 30 days.

That is also why organisations should not wait until reporting closes before reviewing payment behaviour. By the time a reporting period finishes, the operational patterns driving the result have often already been building for months.

4. Why organisations should monitor payment behaviour continuously

Companies that keep an eye on payment behaviour throughout the reporting period are usually able to respond to problems much earlier, before the final reporting result starts moving too far in the wrong direction. That matters because P95 issues rarely appear all at once. More often, they build slowly over time as small operational delays start creeping into the process. A few extra days waiting for approvals here, a backlog there, payment batching somewhere else, and gradually more and more invoices begin drifting beyond 30 days.

The tricky part is that none of those delays necessarily look particularly serious on their own. In many organisations, they simply become part of the normal operational rhythm and can continue building quietly for months before anybody realises the broader payment profile is starting to deteriorate.

Companies reviewing payment behaviour progressively throughout the reporting period are in a much stronger position to spot those patterns early, understand where elapsed time is building up, and make adjustments before the issue spreads across larger invoice populations. By contrast, organisations relying heavily on end-of-period cleanup often discover the problem only once the reporting result is already sitting in front of them, at which point there is usually very little left to influence operationally.

In many cases, the issue is not deliberate late payment behaviour at all. Payment timing has simply drifted operationally over time without enough visibility for the deterioration to be recognised early enough.

Final observations

The Payment Times Reporting Scheme can sometimes feel more complicated than it really needs to be. Underneath the reporting calculations, percentile measures, and industry comparisons, the regulator's objective is actually fairly straightforward: large businesses should be paying small businesses quickly and consistently.

That is why so much attention is now being placed on P95.

For many organisations, the biggest shift comes from starting to view payment reporting as an operational visibility exercise rather than something that only needs attention once reporting closes. Payment timing usually changes gradually over time as small operational delays begin spreading across larger invoice populations. Without enough visibility throughout the reporting period, those patterns can be difficult to recognise early.

Companies monitoring payment behaviour progressively throughout the reporting cycle are therefore in a much stronger position to understand how payment timing is behaving operationally, identify where elapsed time is building up, and respond before reporting outcomes are materially affected.

In practice, improving P95 outcomes is often less about isolated invoice cleanup and more about maintaining consistency across the broader invoice population over time. For many organisations, that shift in perspective changes the conversation completely.

About Monochrome Compliance

Monochrome Compliance helps organisations understand how payment behaviour is evolving operationally throughout the reporting cycle, not just once reporting closes.

We work with finance and operational teams to improve visibility over payment timing, identify where delays are building up, and provide practical insight into how reporting outcomes are being shaped across the broader invoice population.

Our focus is not simply on producing compliant reports. We help organisations understand what sits underneath the numbers so they are in a stronger position to respond early, maintain stable reporting outcomes, and avoid surprises at the end of a reporting period.

That usually means helping companies:

- monitor payment behaviour progressively throughout the reporting cycle;
- identify operational patterns influencing P95 outcomes;
- understand where elapsed time is accumulating; and
- interpret reporting results in a practical and commercially grounded way.

Our approach is calm, practical, and focused on helping organisations build a clearer operational understanding of payment behaviour over time.



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